

Table 2: Post TSM and RSM holding period performance (12, 12).

Reported is the performance of 12 months holding period post trend-following strategies for the 4 sub-portfolios during 13-60 months after the formation of the signals, i.e. 13-24 months, 25-36 months, 37-48 months and 49-60 months. Decomposition method of the 4 sub-portfolios can be seen in Figure 1. Each subgroup is constructed by evaluating whether the underlying trend-following profit is realised or not under a (j, h) scheme, where $j = 12$, is the trend-following look-back period and $h = 12$ is the trend-following holding period. The post trend-following holding period is equally divided into 4 sub-periods which are shown in different panels. We compute the annualised mean, Newey-West t-statistics (** $p < 0.01$; * $p < 0.05$; * $p < 0.1$), annualised volatility/standard error, Sharpe Ratio and maximum drawdown for each strategy which are detailed in Section G of the Online Appendix. The performance is evaluated based on a dataset spanning January, 1985 to March 2015.

	TSM				RSM			
	Realised		Contrarian		Realised		Contrarian	
	Winner	Loser	Winner	Loser	Winner	Loser	Winner	Loser
Panel A: 13-24 months								
Annualised Mean	0.044	0.042	0.007	0.084	0.040	0.039	-0.002	0.087
Newey-West t-statistics	1.906*	1.680*	0.163	3.964***	1.612	1.338	0.019	3.702***
Annualised Volatility	0.028	0.031	0.042	0.027	0.030	0.030	0.034	0.030
Sharpe Ratio	1.535	1.352	0.177	3.139	1.324	1.285	-0.049	2.880
Maximum Drawdown	0.160	0.150	0.420	0.129	0.188	0.163	0.413	0.118
Panel B: 25-36 months								
Annualised Mean	0.009	0.076	0.056	0.057	0.014	0.063	0.052	0.051
Newey-West t-statistics	0.259	2.511**	2.469**	0.854	0.334	3.463***	2.023**	0.655
Annualised Volatility	0.030	0.034	0.030	0.041	0.033	0.026	0.032	0.038
Sharpe Ratio	0.310	2.235	1.871	1.387	0.430	2.389	1.640	1.328
Maximum Drawdown	0.265	0.111	0.152	0.301	0.332	0.080	0.163	0.286
Panel C: 37-48 months								
Annualised Mean	0.019	0.057	0.055	0.043	0.029	0.037	0.056	0.030
Newey-West t-statistics	0.585	1.374	0.899	1.254	0.833	0.979	0.911	0.858
Annualised Volatility	0.030	0.034	0.037	0.033	0.031	0.029	0.041	0.032
Sharpe Ratio	0.637	1.686	1.482	1.310	0.947	1.297	1.390	0.939
Maximum Drawdown	0.255	0.165	0.134	0.203	0.243	0.172	0.178	0.197
Panel D: 49-60 months								
Annualised Mean	0.036	0.059	0.040	0.041	0.042	0.057	0.043	0.035
Newey-West t-statistics	0.601	1.375	1.298	1.516	0.673	1.802*	1.840*	1.915*
Annualised Volatility	0.038	0.033	0.031	0.027	0.038	0.029	0.029	0.026
Sharpe Ratio	0.944	1.763	1.296	1.499	1.110	1.937	1.474	1.336
Maximum Drawdown	0.236	0.112	0.249	0.148	0.215	0.086	0.122	0.154